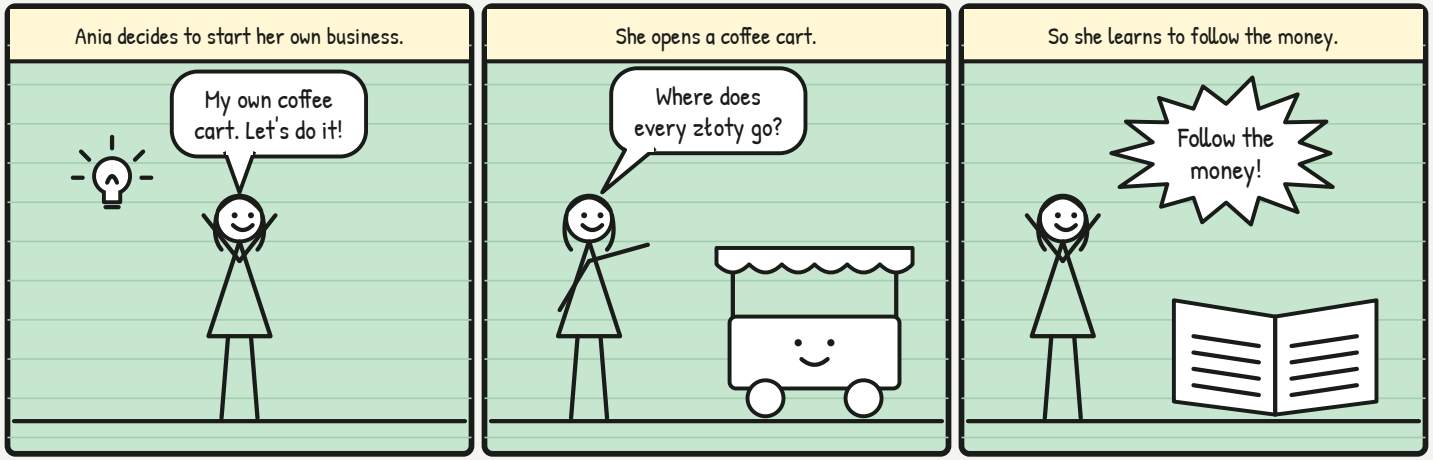


Ania's Coffee Cart

An illustrated guide to the basic accounting conventions, or how to remember what you read, hear and practise when you study accounting

by Tatyana Emelyanova · © 2026

Ania opens a coffee cart and runs it for one month. Each comic strip is one thing that happens to her business. The left panel tells the story; the right panel shows what an accountant writes down and where it lands on the balance sheet, income statement and cash flow statement. At the bottom, the three statements fill up step by step.

First, a little theory. The next three short sections (the big idea, the 12 accounting conventions, and debit and credit) make the comics much easier to follow. About 5 minutes.

Nah, skip the boring stuff →
Straight to the comics. You can always come back.

The big idea

Everything a business owns came from somewhere

Assets = Liabilities + Equity

What the business **has** (assets) was paid for either by **borrowing** (liabilities) or by the **owners** (equity, which also includes profit kept in the business). Every transaction keeps this equation balanced, because each one touches at least two places. That is double-entry bookkeeping.

BALANCE SHEET

A photo

What the business has and owes on one specific day. Its official IFRS name is the statement of financial position. “On 30 November the cart has 10,200 zł in cash and owes the bank 5,000 zł.”

INCOME STATEMENT

A movie

Did the business earn more than it used up during the month? Revenue minus expenses equals profit. Profit then moves into equity on the balance sheet.

STATEMENT OF CASH FLOWS

The bank story

Where real cash came from and went: operating (selling coffee, paying bills), investing (buying the machine) and financing (owner and bank money).

Same thing, four names. This guide uses the IFRS terms used in the UK and the EU.

UK / EU (IFRS)	US	POLISH	RUSSIAN
Statement of financial position	Balance sheet	Bilans	Отчёт о финансовом положении (бухгалтерский баланс)
Income statement	Income statement, P&L	Rachunek zysków i strat	Отчёт о прибыли или убытке (в РСБУ: отчёт о финансовых результатах)
Statement of cash flows	Cash flow statement	Rachunek przepływów pieniężnych	Отчёт о движении денежных средств
Revenue	Revenue, sales	Przychody ze sprzedaży	Выручка
Cost of sales	Cost of goods sold (COGS)	Koszt własny sprzedaży	Себестоимость продаж

UK / EU (IFRS)	US	POLISH	RUSSIAN
Profit for the period	Net income	Zysk netto	Чистая прибыль
Property, plant and equipment	Fixed assets, PP&E	Rzeczowe aktywa trwałe	Основные средства
Depreciation	Depreciation	Amortyzacja	Амортизация
Inventories	Inventory	Zapasy	Запасы
Trade receivables	Accounts receivable	Należności z tytułu dostaw i usług	Дебиторская задолженность
Trade payables	Accounts payable	Zobowiązania z tytułu dostaw i usług	Кредиторская задолженность
Prepaid expenses	Prepaid expenses	Czynne rozliczenia międzyokresowe kosztów	Расходы будущих периодов
Accrued expenses	Accrued liabilities	Bierne rozliczenia międzyokresowe kosztów	Начисленные обязательства
Equity	Owner's / stockholders' equity	Kapitał własny	Собственный капитал
Retained earnings	Retained earnings	Zyski zatrzymane	Нераспределённая прибыль
Prudence convention	Conservatism	Zasada ostrożności	Принцип осмотрительности

Skip to the comics ↓

12 conventions

The rules of the game, in plain English

Each card gives the meaning in one line, a tiny example, and a link to the strip where it happens to Ania. Under each name: the other name you may meet, then the Polish and Russian terms.



Business entity convention

Also called: economic entity

PL Zasada odrębności jednostki gospodarczej
RU Принцип имущественной обособленности

The business and the owner are separate. Keep their money apart.

Example: Ania's savings become the cart's money and she becomes an owner.

See it in strip 1 ↓



Money measurement

Also called: monetary unit

PL Zasada pomiaru wartości w pieniądzu
RU Принцип денежного измерения

Only things you can measure in money go in the books.

Example: Tomek's great smile is valuable, but it has no line in the accounts.



Reporting period

Also called: time period

PL Zasada okresowości
RU Принцип периодичности

Chop the life of a business into months or years so you can report on each one.

Example: At month end, one month of prepaid rent becomes an expense.

See it in strip 11 ↓



Going concern convention

Also called: going concern

PL Zasada kontynuacji działalności
RU Принцип непрерывности деятельности

Assume the business will keep running and has no plan to sell off its assets.

Example: The machine is shown at cost less depreciation, not at the lower price it would fetch in a quick sale.

See it in strip 12 ↓



Historic cost convention

Also called: historical cost

PL Zasada kosztu historycznego
RU Принцип исторической стоимости

Record things at what you actually paid.

Example: The machine stays at 6,000 zł even if a friend says it is worth 8,000.

See it in strip 3 ↓



Dual aspect convention

Also called: duality, double entry

PL Zasada podwójnego zapisu
RU Принцип двойственности (двойной записи)

Every transaction has two sides, so A = L + E always balances.

Example: A loan raises cash and debt by the same 5,000 zł.

See it in strip 2 ↓



Accruals convention

Also called: accrual basis

PL Zasada memoriału
RU Принцип начисления

Profit is revenue earned minus expenses used up, not cash in minus cash out.

Example: Interest owed for November is recorded in November, even if paid later.

See it in strip 13 ↓



Revenue recognition

Also called: realisation

PL Zasada realizacji przychodów
RU Принцип признания выручки

Count revenue when you have earned it by delivering the goods or service.

Example: Catering delivered today is revenue today; payment next month is just cash catching up.

See it in strip 7 ↓



Matching convention

Also called: expense recognition

PL Zasada współmierności przychodów i kosztów
RU Принцип соответствия доходов и расходов

Put expenses in the same period as the revenue they helped earn.

Example: Beans used to make this month's coffee are this month's expense.

See it in strip 6 ↓



Prudence convention

Also called: conservatism

PL Zasada ostrożności
RU Принцип осмотрительности

When unsure, don't overstate what you have or what you earned. Record losses early, gains only when sure.

Example: If 200 zł of beans went stale, write them down now; don't wait.



Materiality convention

Also called: materiality

PL Zasada istotności
RU Принцип существенности

Small amounts that would not change anyone's decision can be handled the simple way.

Example: A 15 zł stapler is just an expense, not a 5-year asset.



Consistency convention

Also called: consistency

PL Zasada ciągłości
RU Принцип последовательности

Once you pick a method, keep using it, so periods can be compared.

Example: If the machine is depreciated straight-line this year, it stays straight-line next year.

Skip to the comics ↓

Debit & credit

Dr and Cr in one minute

Every strip shows what the accountant writes, with **Dr** and **Cr** in front of each line. They are just the two sides of an account, nothing more.

Dr
Debit = the left side

Polish: Wn (Winien) · Russian: Дт (дебет)

Cr
Credit = the right side

Polish: Ma · Russian: Кт (кредит)

The one rule: in every entry, the debits add up to the same amount as the credits. That is double entry, and it is why A = L + E always balances.

ACCOUNT TYPE	GOES UP WITH	GOES DOWN WITH	ENDS UP ON
Assets (cash, inventory, machine)	Dr	Cr	Balance sheet
Expenses (rent, wages)	Dr	Cr	Income statement
Liabilities (loan, unpaid bills)	Cr	Dr	Balance sheet
Equity (owner's capital)	Cr	Dr	Balance sheet
Revenue (sales)	Cr	Dr	Income statement

Memory trick: DEALER

D E A grow with Dr · L E R grow with Cr

Drawings, Expenses, Assets · Liabilities, Equity, Revenue

Cash

	Dr · money in		Cr · money out
strip 1	10,000	strip 3	6,000
strip 2	5,000	strip 4	1,500
strip 6	4,000	strip 9	800
strip 8	1,000	strip 10	1,500
	20,000		9,800

Balance 10,200 Dr → Cash on the balance sheet

This is a T-account: Ania's whole month of cash in one picture. Money in sits on the left (Dr), money out on the right (Cr). The difference, 10,200 zł, is the cash line on the balance sheet.

`Dr Cash 10,000` Cash is an asset. It goes up, so it is a debit.

`Cr Owner's capital 10,000` Capital is equity. It goes up, so it is a credit. 10,000 = 10,000, so the entry balances.

That is strip 1, read out loud. Statements never print “Dr” or “Cr”: each account's final balance simply becomes one line, as the Cash account on the right shows.

The comics

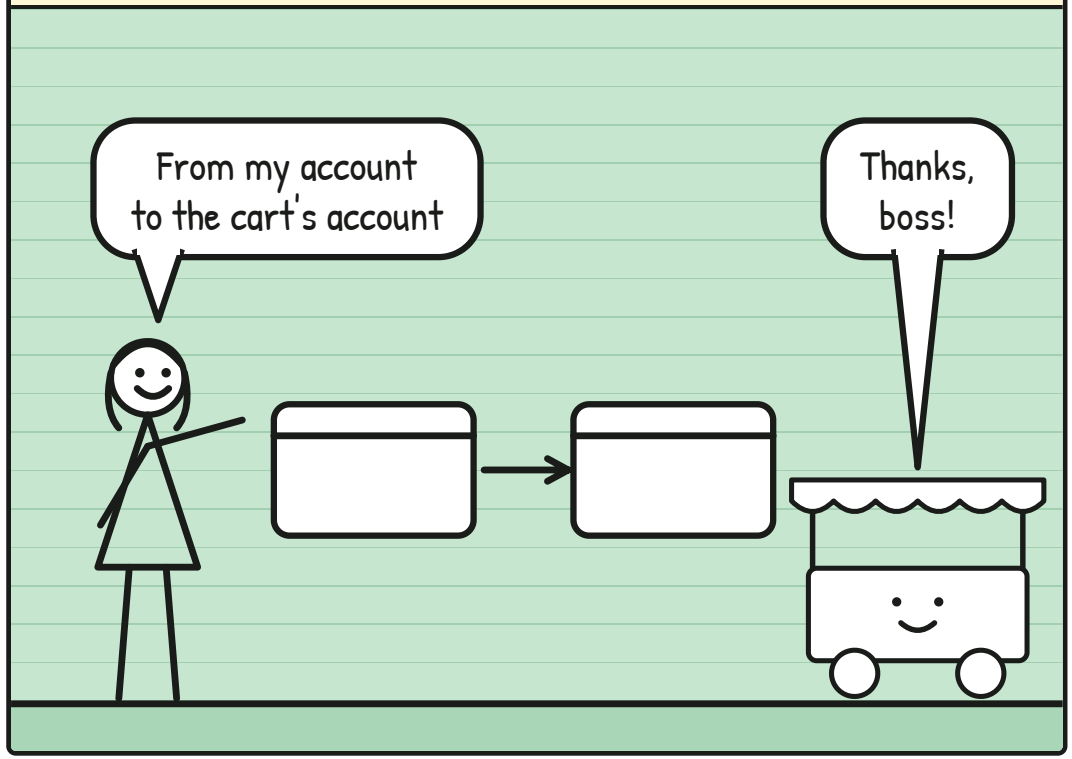
One month at the coffee cart

Jump to strip: 1 2 3 4 5 6 7 8 9 10 11 12 13

No. 1 Opening the business account

PRINCIPLE: BUSINESS ENTITY CONVENTION

Day 1. Ania moves 10,000 zł of her own savings into a new bank account opened just for the cart.



WHAT IT MEANS

From today the cart is treated as its own little “person”. The money now belongs to the business, and the business records that it came from its owner. That is equity. (In accounting, “cash” includes money in bank accounts, so the transfer is recorded as cash.)

WHAT THE ACCOUNTANT WRITES

Dr	Cash	10,000
Cr	Owner's capital	10,000

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash +10,000 · Owner's capital +10,000

INCOME STATEMENT

no change

CASH FLOW

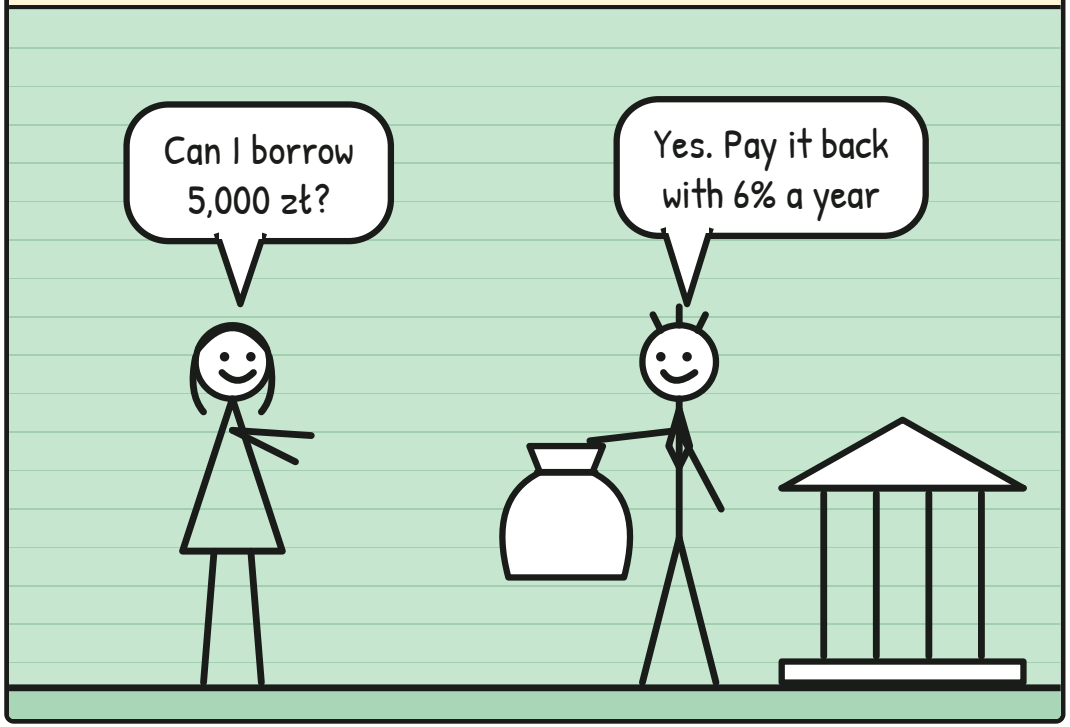
Financing +10,000

Check: assets +10,000 = liabilities 0 + equity +10,000

WATCH OUT

Ania's groceries are not cart expenses. Mixing personal and business money breaks this rule.

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.



WHAT IT MEANS

The cart has 5,000 zł more cash, but also owes 5,000 zł. Two sides, same amount, so Assets = Liabilities + Equity still balances.

WHAT THE ACCOUNTANT WRITES

Dr	Cash	5,000
Cr	Bank loan	5,000

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash +5,000 · Bank loan +5,000

INCOME STATEMENT

no change

CASH FLOW

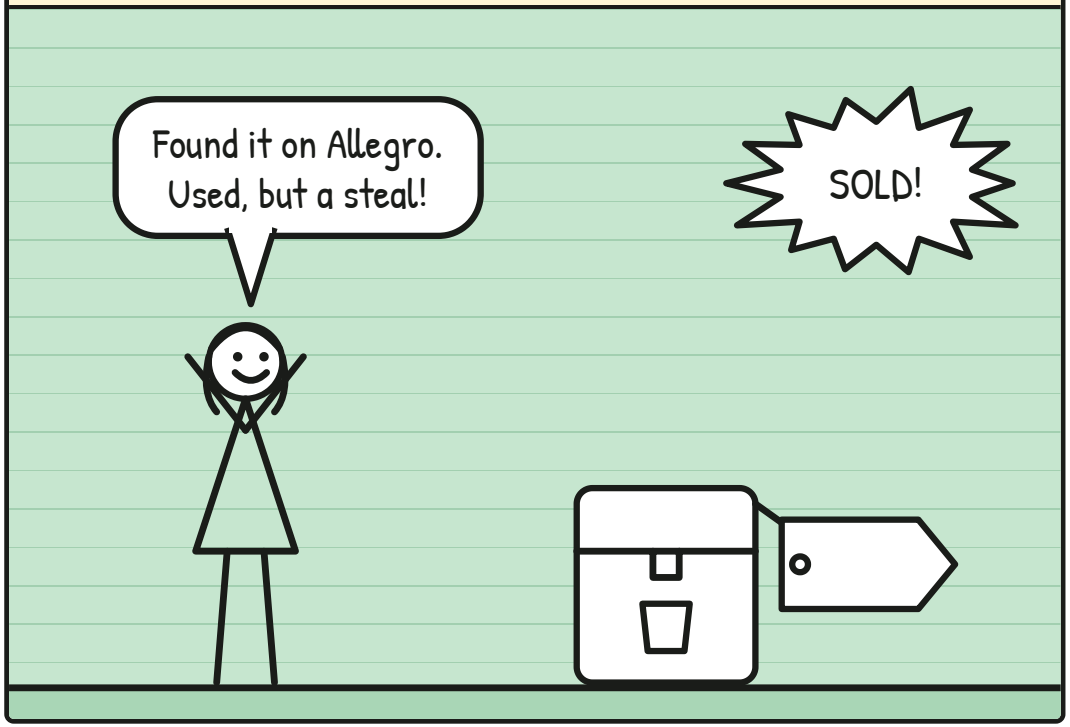
Financing +5,000

Check: assets +5,000 = liabilities +5,000 + equity 0

WATCH OUT

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue. And no interest is recorded today: interest builds up over time and is recorded at each month end (see strip 13).

Day 3. Ania finds a good second-hand espresso machine on Allegro and pays 6,000 zł from the cart's account.



WHAT IT MEANS

The machine goes on the books at the price paid: 6,000 zł. Cash turns into equipment, so total assets stay the same. It is not an expense yet, because the machine will make coffee for years.

WHAT THE ACCOUNTANT WRITES

Dr Equipment	6,000
Cr Cash	6,000

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash −6,000 · Equipment (PPE) +6,000

INCOME STATEMENT

no change

CASH FLOW

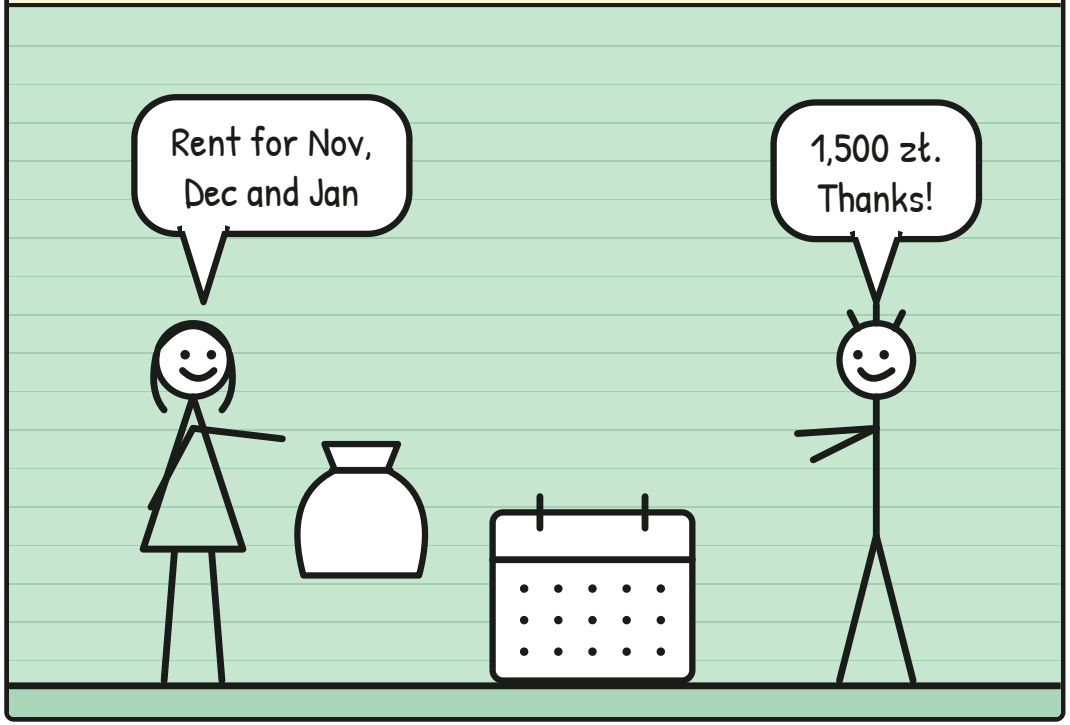
Investing −6,000

Check: assets 0 = liabilities 0 + equity 0

WATCH OUT

Don't record it at what you think it's worth (“it's a bargain, really 8,000”). Record what you paid.

Day 4. The landlord wants rent for November, December and January up front: 1,500 zł in total.



WHAT IT MEANS

Paying is not the same as using. Right now the cart owns the right to use the space for three months. That right is an asset called prepaid rent. It becomes an expense one month at a time (see strip 11).

WHAT THE ACCOUNTANT WRITES

Dr Prepaid rent	1,500
Cr Cash	1,500

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash −1,500 · Prepaid rent +1,500

INCOME STATEMENT

no change

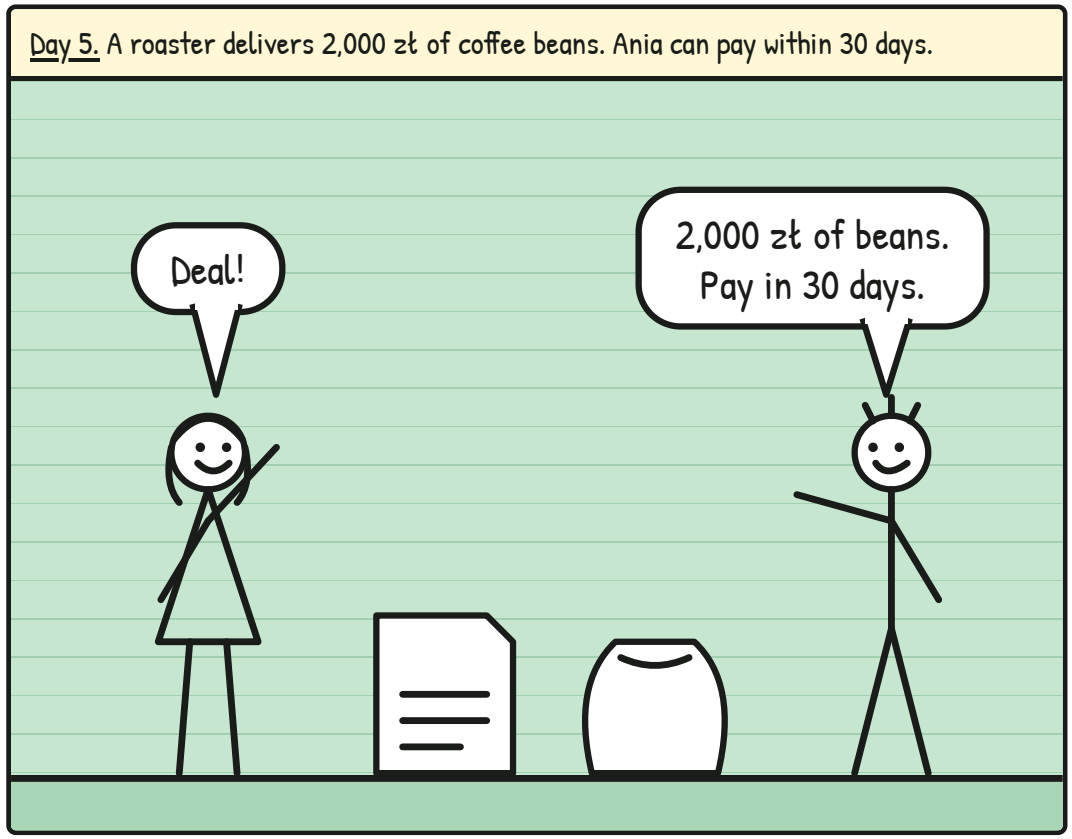
CASH FLOW

Operating −1,500

Check: assets 0 = liabilities 0 + equity 0

WATCH OUT

Booking all 1,500 zł as November rent would make November look worse and January look better than they really are.



WHAT IT MEANS

The cart now has beans (inventory, an asset) and a bill to pay (trade payables, a liability). Both go up by 2,000 zł. No cash moved, so the cash flow statement does not change.

WHAT THE ACCOUNTANT WRITES

Dr Inventory	2,000
Cr Trade payables	2,000

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Inventory +2,000 · Trade payables +2,000

INCOME STATEMENT

no change

CASH FLOW

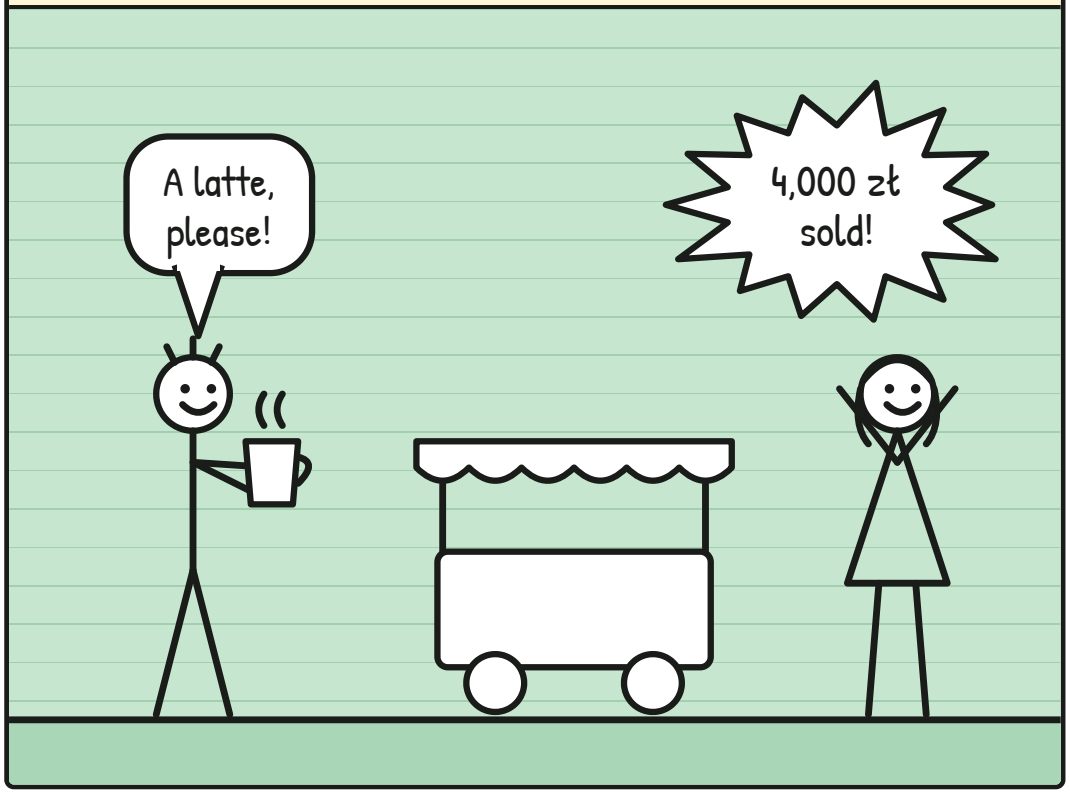
no cash moved

Check: assets +2,000 = liabilities +2,000 + equity 0

WATCH OUT

Beans on the shelf are not an expense yet. They become one only when they are used to make coffee that is sold.

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee, paid on the spot.



WHAT IT MEANS

Coffee was handed over, so 4,000 zł of revenue is earned. Beans worth 1,200 zł were used to make it, so that cost is matched to the same month as cost of sales. Profit from these sales is 2,800 zł.

WHAT THE ACCOUNTANT WRITES

Dr Cash	4,000
Cr Revenue	4,000
Dr Cost of sales	1,200
Cr Inventory	1,200

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash +4,000 · Inventory −1,200 · Retained earnings +2,800

INCOME STATEMENT

Revenue +4,000 · Cost of sales −1,200 → profit +2,800

CASH FLOW

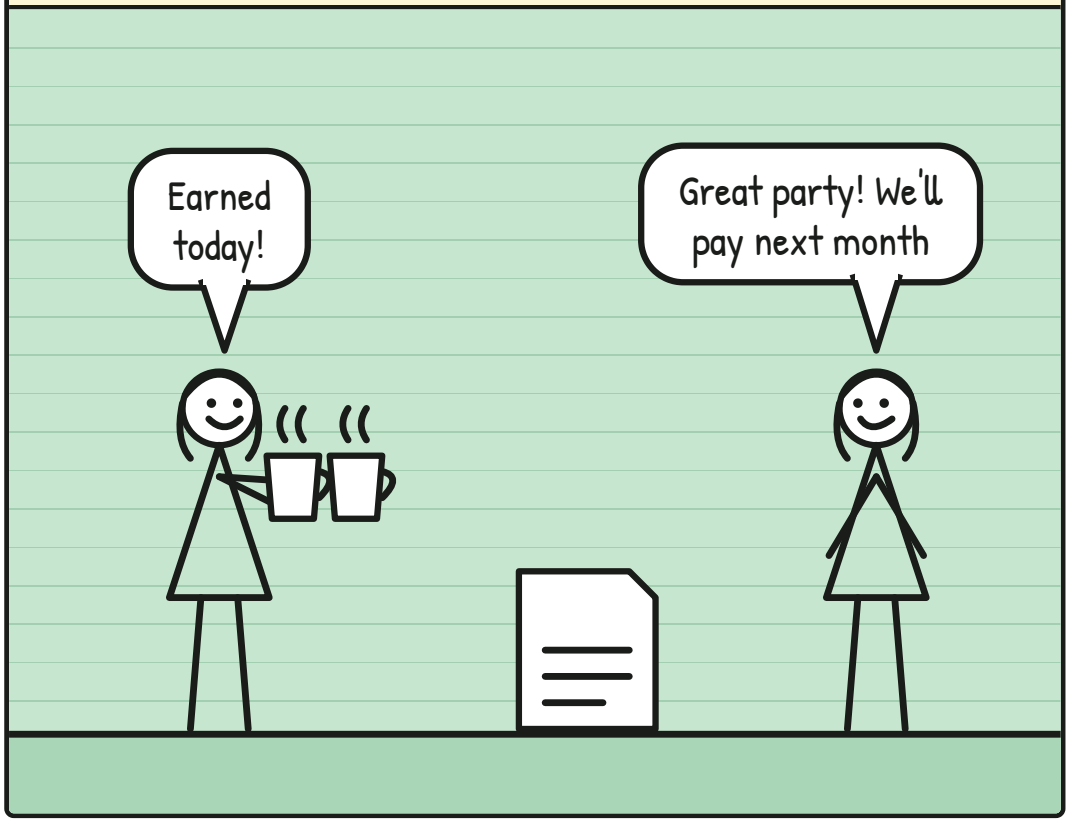
Operating +4,000

Check: assets +2,800 = liabilities 0 + equity +2,800

WATCH OUT

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today. The office will pay next month.



WHAT IT MEANS

The work is done, so the revenue is earned today, even though no cash has arrived. The office now owes the cart money: trade receivables, an asset. The 300 zł of beans used become an expense this month.

WHAT THE ACCOUNTANT WRITES

Dr Trade receivables	1,000
Cr Revenue	1,000
Dr Cost of sales	300
Cr Inventory	300

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Trade receivables +1,000 · Inventory −300 · Retained earnings +700

INCOME STATEMENT

Revenue +1,000 · Cost of sales −300 → profit +700

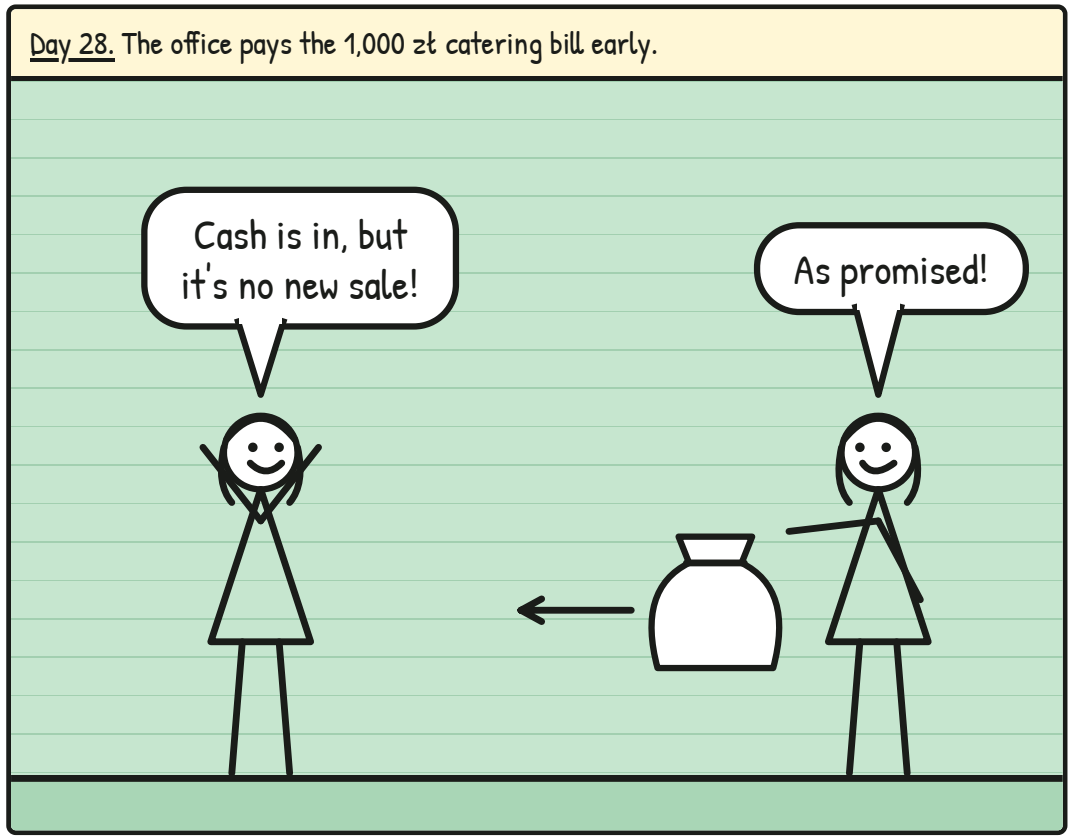
CASH FLOW

no cash moved

Check: assets +700 = liabilities 0 + equity +700

WATCH OUT

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.



WHAT IT MEANS

Cash goes up and the amount the office owes goes down to zero. There is no new revenue, because it was already counted in strip 7. One asset (receivable) simply turned into another (cash).

WHAT THE ACCOUNTANT WRITES

Dr Cash	1,000
Cr Trade receivables	1,000

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash +1,000 · Trade receivables −1,000

INCOME STATEMENT

no change

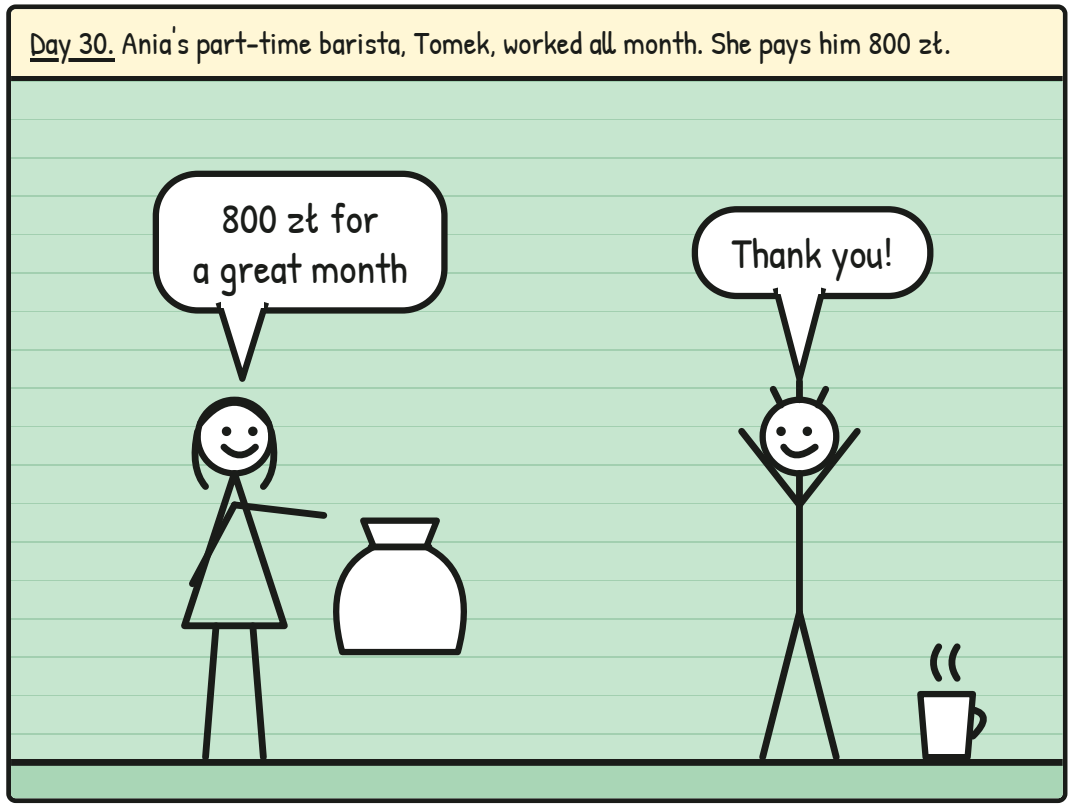
CASH FLOW

Operating +1,000

Check: assets 0 = liabilities 0 + equity 0

WATCH OUT

Recording revenue again when the cash arrives would count the same party twice.



WHAT IT MEANS

Tomek's work helped earn November's sales, so his wages are a November expense. Cash goes down and profit goes down by the same 800 zł.

WHAT THE ACCOUNTANT WRITES

Dr	Wages expense	800
Cr	Cash	800

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash −800 · Retained earnings −800

INCOME STATEMENT

Wages expense −800 → profit −800

CASH FLOW

Operating −800

Check: assets −800 = liabilities 0 + equity −800

WATCH OUT

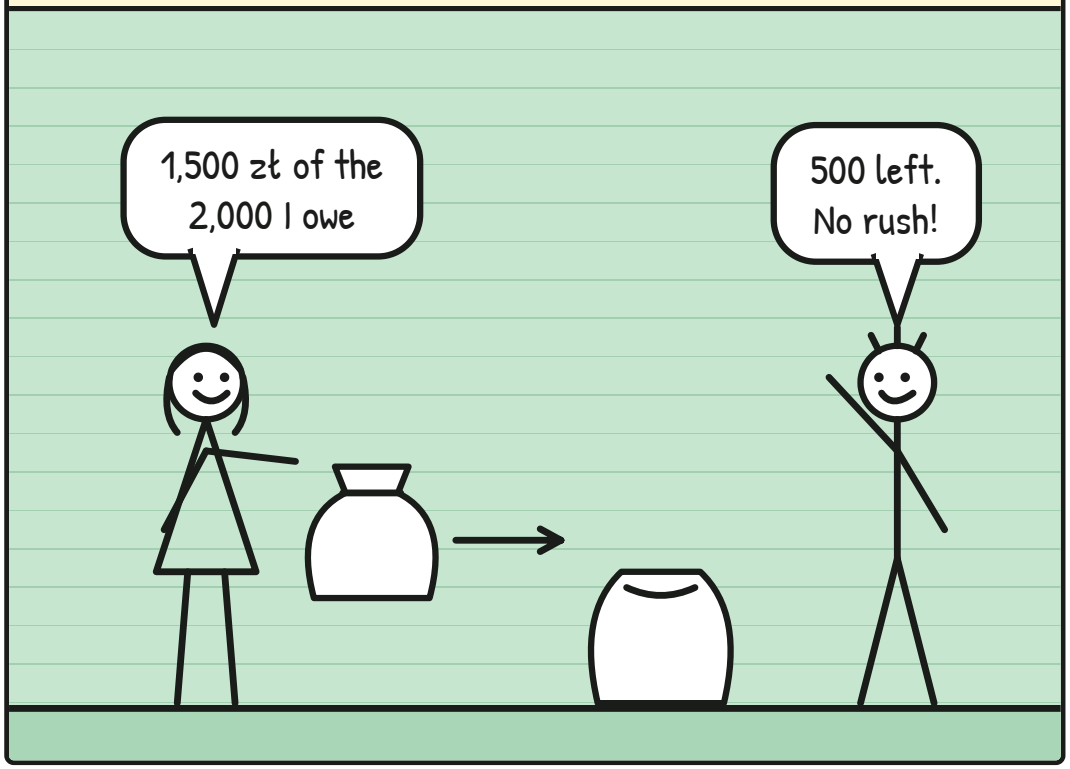
Paying Ania herself is different: money the owner takes out is a withdrawal of equity, not a wage expense.

Paying part of the bean bill

PRINCIPLE: DUAL ASPECT CONVENTION

← No. 9 No. 11 →

Day 30. Ania pays the roaster 1,500 zł of the 2,000 zł she owes. 500 zł is still to pay.



WHAT IT MEANS

Cash goes down and the debt to the roaster goes down by the same amount. Profit does not change: the beans were already counted as an expense when they were used in strips 6 and 7.

WHAT THE ACCOUNTANT WRITES

Dr Trade payables	1,500
Cr Cash	1,500

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Cash −1,500 · Trade payables −1,500

INCOME STATEMENT

no change

CASH FLOW

Operating −1,500

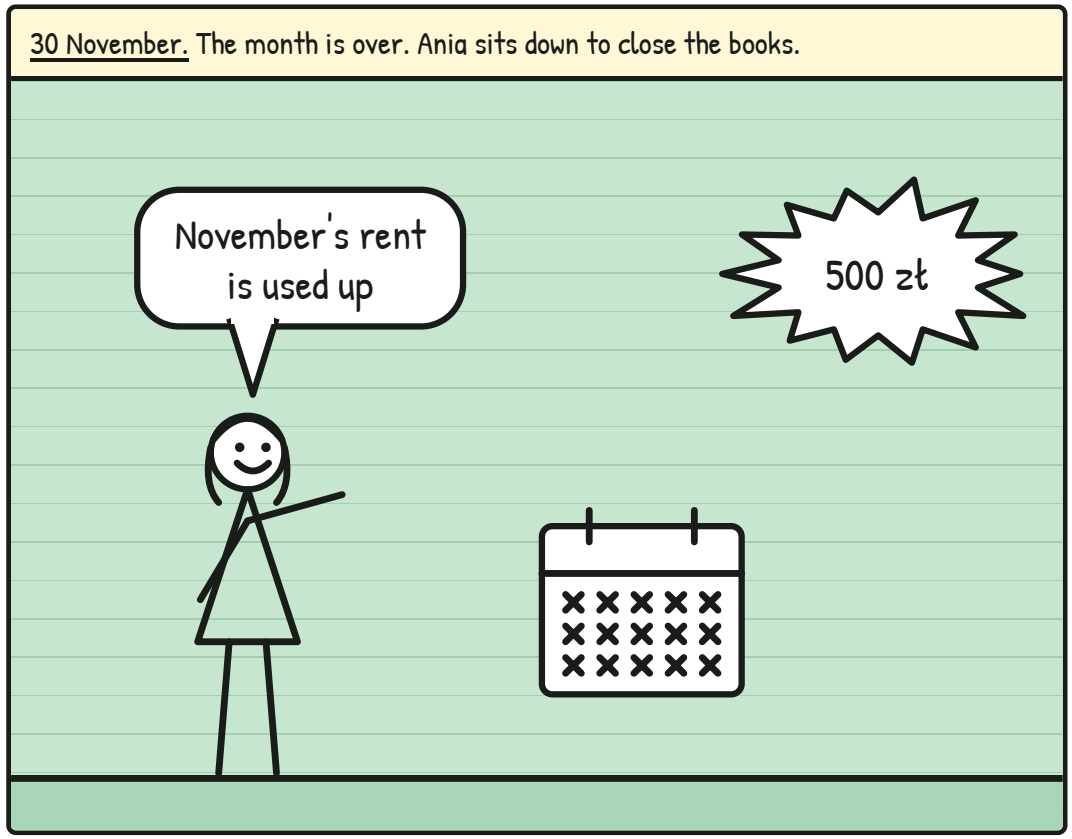
Check: assets −1,500 = liabilities −1,500 + equity 0

WATCH OUT

Paying a bill is not the same as having an expense. The expense happened when the beans were used.

No. 11 # Month end: using up a month of rent PRINCIPLE: REPORTING PERIOD (ADJUSTING ENTRY)

← No. 10 No. 12 →



WHAT IT MEANS

One of the three prepaid months has been used. An adjusting entry moves 500 zł from the prepaid rent asset into rent expense, so November carries exactly one month of rent.

WHAT THE ACCOUNTANT WRITES

Dr	Rent expense	500
Cr	Prepaid rent	500

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Prepaid rent −500 · Retained earnings −500

INCOME STATEMENT

Rent expense −500 → profit −500

CASH FLOW

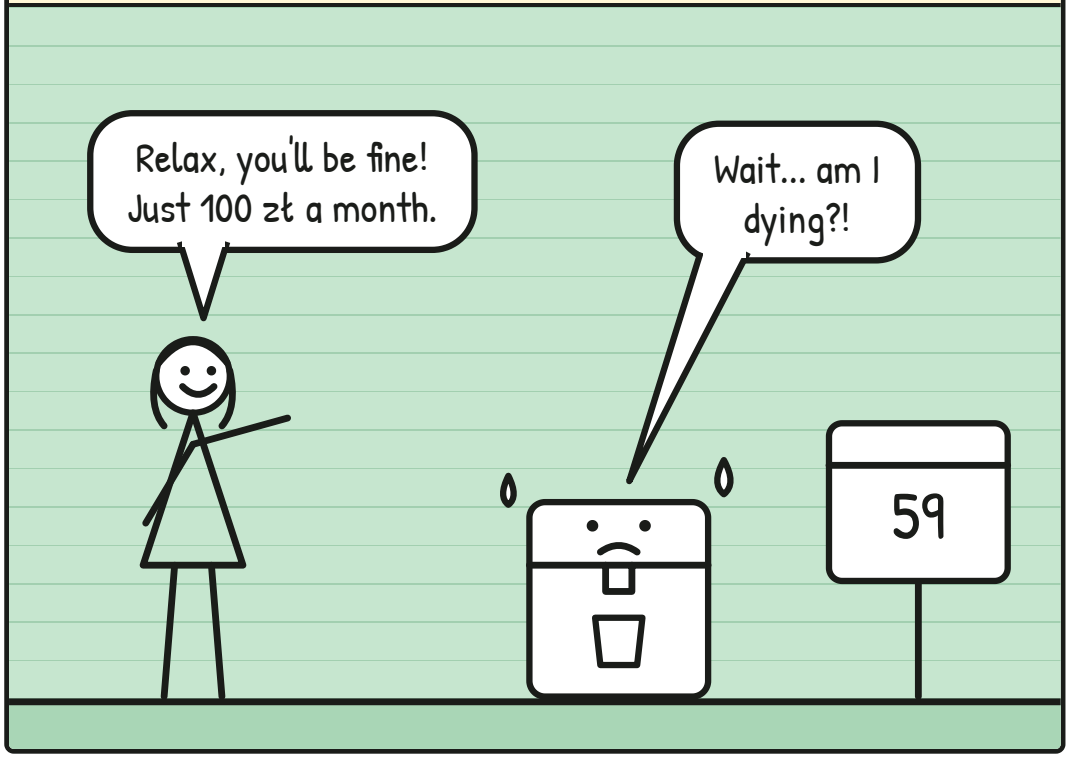
no cash moved

Check: assets −500 = liabilities 0 + equity −500

WATCH OUT

Adjusting entries never involve cash. They fix the timing so each month shows what really belongs to it.

30 November. The espresso machine should last about 5 years (60 months), then it will be worth nothing.



WHAT IT MEANS

Because the cart will keep going (going concern), the 6,000 zł cost is spread across the months the machine helps earn money: 6,000 ÷ 60 = 100 zł each month. This is depreciation. The machine's book value drops to 5,900 zł.

WHAT THE ACCOUNTANT WRITES

Dr Depreciation expense	100
Cr Accumulated depreciation	100

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Accumulated depreciation −100 · Retained earnings −100

INCOME STATEMENT

Depreciation expense −100 → profit −100

CASH FLOW

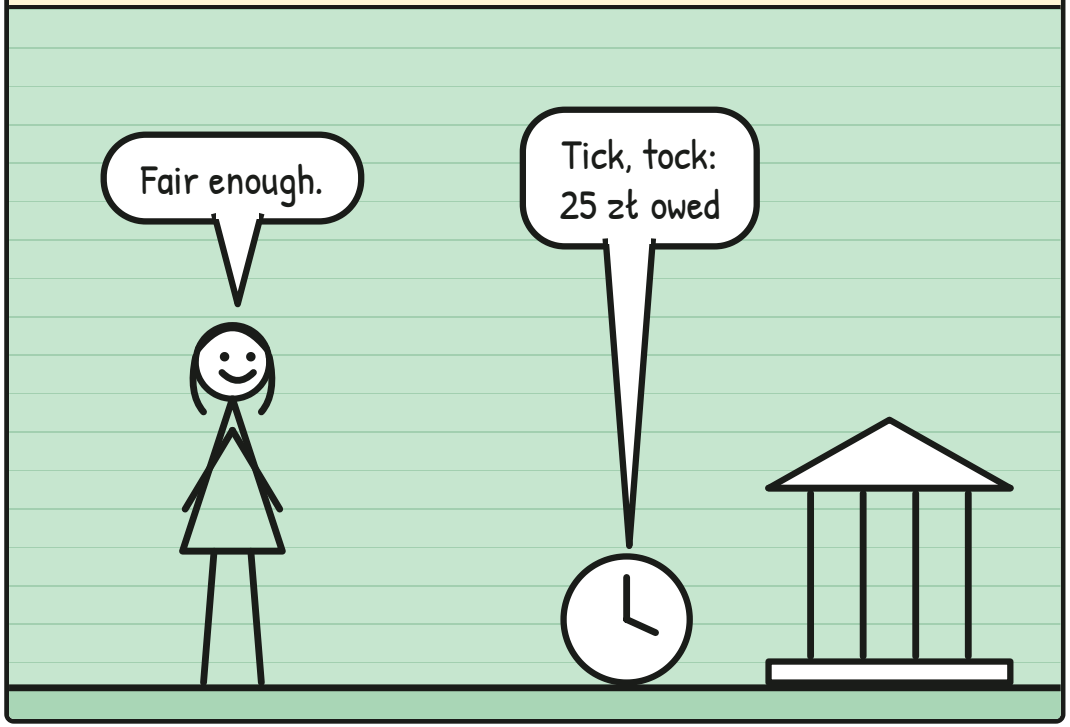
no cash moved

Check: assets −100 = liabilities 0 + equity −100

WATCH OUT

Depreciation uses no cash. That's why profit and cash are different numbers. And the machine is fine: “worth zero on paper” after 5 years doesn't mean it stops making coffee.

30 November. The bank only collects interest later, but every day of the loan costs a little.



WHAT IT MEANS

One month of interest: 5,000 × 6% ÷ 12 = 25 zł. It is owed already, so it is recorded now as an expense and as an accrued expense, even though nothing has been paid.

WHAT THE ACCOUNTANT WRITES

Dr Interest expense	25
Cr Accrued interest	25

Dr = debit · Cr = credit

WHERE IT LANDS

BALANCE SHEET

Accrued interest +25 · Retained earnings −25

INCOME STATEMENT

Interest expense −25 → profit −25

CASH FLOW

no cash moved

Check: assets 0 = liabilities +25 + equity −25

WATCH OUT

Ignoring costs until the bill arrives would make this month look more profitable than it was.

The statements

Watch them fill up, one transaction at a time

INCOME STATEMENT

November

Performance over the month

Revenue	5,000
Cost of sales	(1,500)
Gross profit	**3,500**
Rent expense	(500)
Wages expense	(800)
Depreciation	(100)
Interest expense	(25)
Profit for the period	**2,075**

BALANCE SHEET

30 November

Snapshot on the last day. Official IFRS name: statement of financial position

ASSETS	
Cash	10,200
Trade receivables	0
Inventory	500
Prepaid rent	1,000
Equipment (PPE)	6,000
Accumulated depreciation	(100)
Total assets	**17,600**
LIABILITIES	
Trade payables	500
Accrued interest	25
Bank loan	5,000
Total liabilities	**5,525**
EQUITY	
Owner's capital	10,000
Retained earnings	2,075
Total equity	**12,075**
Liabilities + equity	**17,600**

STATEMENT OF CASH FLOWS

November

Where real cash came from and went

Operating activities	1,200
Investing activities	(6,000)
Financing activities	15,000
Net change in cash	**10,200**

Ends at cash on the balance sheet: 10,200 zł.

✓ Balanced: 17,600 = 17,600

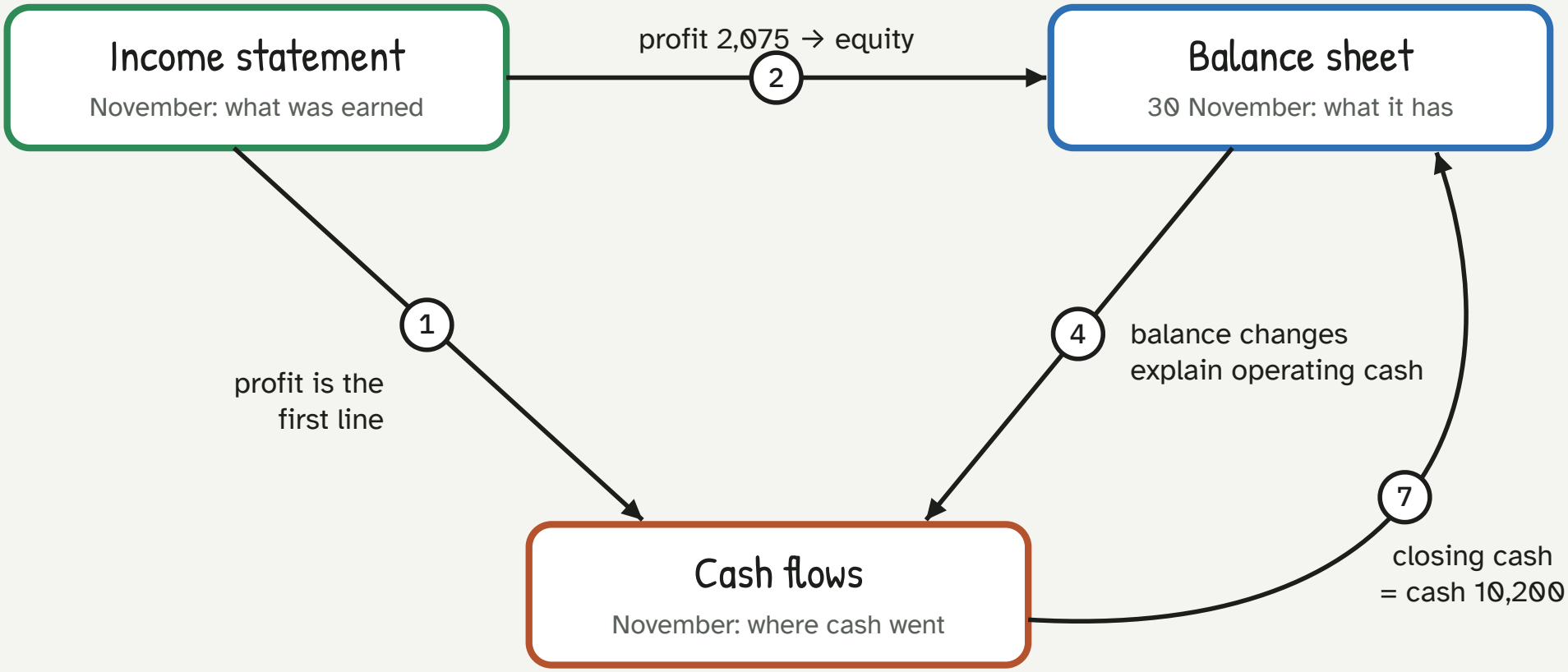
Why is profit (2,075) different from operating cash (1,200)? Profit counts what was earned and used up; cash counts what was paid. Profit 2,075 + depreciation 100 – cash tied up in inventory, prepaid rent and receivables (1,500) + bills not yet paid (525) = 1,200.

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How they connect

Where each of Ania's sums travels between the three statements

The three statements are one story told three ways. The same numbers travel between them, and if one is wrong, the others stop agreeing. Here is where each of Ania's November sums goes.



1. **Profit starts the cash story.** The statement of cash flows opens with the 2,075 zł profit and then corrects it for everything that was not cash.

2. **Profit belongs to the owner.** The same 2,075 zł is added to equity: 10,000 capital + 2,075 profit = 12,075 zł. In a company this line is retained earnings, after any dividends.

3. **Depreciation is a cost without cash.** The 100 zł lowers profit, so it is added back in cash flows. On the other side it builds up as accumulated depreciation, so the machine shows 5,900 zł.

4. **Balance changes explain the gap.** Cash went into beans (500) and rent paid ahead (1,000), while some bills are still unpaid (525). Together they turn 2,175 into 1,200 zł of operating cash.

5. **Buying long-lasting assets is investing.** The 6,000 zł machine is a cash outflow and appears as equipment on the balance sheet.

6. **Owner and bank money is financing.** The 10,000 zł from Ania and the 5,000 zł loan come in as cash and appear as capital and debt.

7. **Closing cash must match.** 10,200 zł at the end of the cash flow statement equals cash on the balance sheet. This is the first check an accountant makes.

Tap a number to light up where that sum appears in each statement.

INCOME STATEMENT

November

Revenue	5,000
Cost of sales	(1,500)
Rent expense	(500)
Wages expense	(800)
Depreciation	(100) ③
Interest expense	(25)
Profit for the period	**2,075** ① ②

STATEMENT OF CASH FLOWS

November, indirect method

OPERATING ACTIVITIES	
Profit for the period	2,075 ①
Add back depreciation (no cash left)	100 ③
Increase in inventory	(500) ④
Increase in prepaid rent	(1,000) ④
Increase in trade payables	500 ④
Increase in accrued interest	25 ④
Cash from operating activities	**1,200**
INVESTING ACTIVITIES	
Espresso machine bought	(6,000) ⑤
FINANCING ACTIVITIES	
Owner's money in	10,000 ⑥
Bank loan	5,000 ⑥
Change in cash	**10,200**
Opening cash	0
Closing cash	**10,200** ⑦

BALANCE SHEET

30 November

IFRS name: statement of financial position

ASSETS	
Cash	10,200 ⑦
Inventory	500 ④
Prepaid rent	1,000 ④
Equipment at cost	6,000 ⑤
Accumulated depreciation	(100) ③
Total assets	**17,600**
LIABILITIES	
Trade payables	500 ④
Accrued interest	25 ④
Bank loan	5,000 ⑥
EQUITY	
Owner's capital	10,000 ⑥
Profit for the period	2,075 ②
Total liabilities + equity	**17,600**

STATEMENT	SHOWS	COVERS	STARTS WITH	ENDS WITH
Income statement	Performance: did the business earn more than it used up?	A period (November)	Revenue	Profit for the period
Balance sheet (statement of financial position)	Position: what it has and who funded it	One day (30 November)	Assets	Liabilities + equity, equal to assets

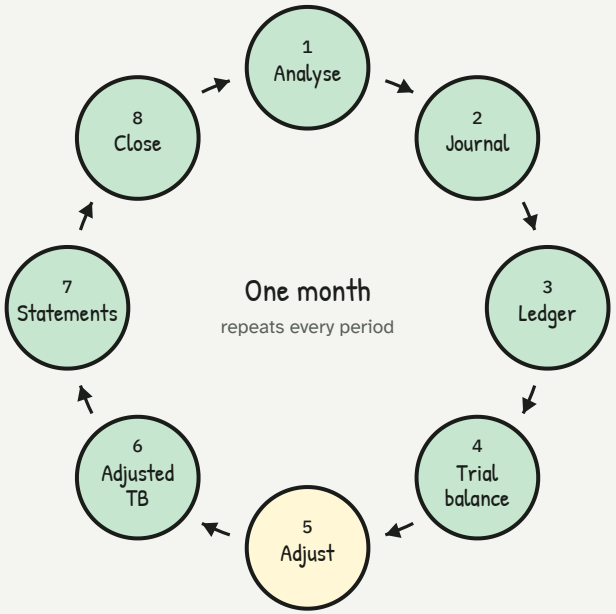
STATEMENT	SHOWS	COVERS	STARTS WITH	ENDS WITH
Statement of cash flows	Where real cash came from and went	A period (November)	Profit (indirect method)	Closing cash, equal to cash on the balance sheet

↑ Back to the comics

Accounting cycle

From receipt to report

Every month an accountant walks the same eight steps. Most of the thinking happens in step 1; the month-end adjustments in step 5 are where profit gets fixed to the right month.



1 **Analyse the transaction**
What happened, which accounts change, and does each go up or down?
Ania: Beans arrive on credit (strip 5): inventory, an asset, goes up; trade payables, a liability, go up.

2 **Record it in the journal**
Write a dated entry with debits and credits that are equal.
Ania: Dr Inventory 2,000 / Cr Trade payables 2,000.

3 **Post to the ledger**
Copy each line to that account's own page (a T-account) to keep a running balance.
Ania: After strip 10 the cash account shows 10,200 zł.

4 **Unadjusted trial balance**
List every balance and check that debits equal credits.
Ania: Debits 20,500 = credits 20,500.

5 **Adjusting entries**
At month end, fix timing: costs used up, income earned, costs owed but not yet billed.
Ania: Rent used 500, depreciation 100, interest 25 (strips 11–13).

6 **Adjusted trial balance**
List the balances again, now including the adjustments.
Ania: Debits 20,625 = credits 20,625.

7 **Prepare the statements**
Income statement first, then the balance sheet, then cash flows.
Ania: Profit 2,075 zł; total assets 17,600 zł; closing cash 10,200 zł.

8 **Close the period**

Reset revenue and expense accounts to zero and move the profit into equity.

Ania: 2,075 zł moves into Ania's equity. December starts again at step 1.

Ania's trial balance, before and after the adjustments

A trial balance lists every account with its debit or credit balance. Debits must equal credits. The adjustments column shows the three month-end entries from strips 11–13.

	UNADJUSTED (AFTER STRIP 10)		ADJUSTMENTS		ADJUSTED	
ACCOUNT	DEBIT	CREDIT	DEBIT	CREDIT	DEBIT	CREDIT
Cash	10,200				10,200	
Inventory	500				500	
Prepaid rent	1,500			500 (a)	1,000	
Equipment (PPE)	6,000				6,000	
Accumulated depreciation				100 (b)		100
Trade payables		500				500
Accrued interest				25 (c)		25
Bank loan		5,000				5,000
Owner's capital		10,000				10,000
Revenue		5,000				5,000
Cost of sales	1,500				1,500	
Rent expense			500 (a)		500	
Wages expense	800				800	
Depreciation expense			100 (b)		100	
Interest expense			25 (c)		25	
Totals	**20,500**	**20,500**	**625**	**625**	**20,625**	**20,625**

(a) rent used up, strip 11 · (b) depreciation, strip 12 · (c) interest owed, strip 13. Before adjusting, November's profit looks like 2,700 zł; after the three adjustments it is 2,075 zł. Debits equal credits in every column.

↑ Back to the comics

Easy to mix up

Common traps for people new to accounting

These feel obvious but are wrong, and they catch most people who are new to accounting. Each one shows what people often think, what is actually true, and a number from Ania's cart.

Loans and interest

"Taking a loan is income"

Actually: A loan is money you must give back, so it is a liability. Profit does not change.

Strip 2: cash +5,000 zł and bank loan +5,000 zł. Revenue stays 0.

See strip 2 ↓

"All the interest is recorded on the day you borrow"

Actually: Interest is the price of using money over time. Only the 5,000 zł you received is recorded on day 2. Interest builds up month by month and is recorded as it accrues.

November's share is 5,000 × 6% ÷ 12 = 25 zł, recorded on 30 November, not 300 zł on day 2.

See strip 13 ↓

"A loan repayment is an expense"

Actually: Each repayment has two parts. The principal part only reduces the debt. Only the interest part is an expense.

If Ania later pays the bank 1,025 zł: 1,000 zł only reduces the loan. The 25 zł is interest, the only expense part, and it was already recorded as it built up (strip 13), so the payment just clears it.

Spending money

"Buying a machine is an expense"

Actually: Something that will serve for years is an asset. Its cost reaches the income statement slowly, through depreciation.

Strip 3: 6,000 zł becomes equipment. November's expense is only 100 zł of depreciation.

See strip 3 ↓

"Buying stock is an expense"

Actually: Goods on the shelf are inventory, an asset. They become an expense (cost of sales) only when they are sold.

2,000 zł of beans bought, 1,500 zł used, 500 zł still an asset on 30 November.

See strip 5 ↓

"Paying a bill is when the expense happens"

Actually: The expense happens when something is used up. Paying the bill only settles the debt.

Strip 10: paying the roaster 1,500 zł changes cash and payables, not profit.

See strip 10 ↓

"Rent paid ahead is this month's cost"

Actually: Only the part used this month is an expense. The rest is prepaid, an asset.

1,500 zł paid for three months: 500 zł expense in November, 1,000 zł asset.

See strip 4 ↓

"The price of an asset is just its sticker price"

Actually: The cost of an asset includes what it takes to get it working: delivery, installation, set-up.

If delivering the machine had cost 200 zł, equipment would be 6,200 zł.

Money coming in

"Cash from a customer is always revenue"

Actually: Revenue is what you have earned. Cash for a sale you already recorded is not new revenue.

Strip 8: the office pays 1,000 zł, but the revenue was counted in strip 7.

See strip 8 ↓

"A customer's deposit is revenue"

Actually: Money for something you have not delivered yet is owed back in goods or services, so it is a liability (deferred revenue).

If the office prepaid 600 zł for December coffee, November revenue stays the same; a 600 zł liability appears.

"VAT on a sale is part of the revenue"

Actually: VAT is collected for the tax office and passed on. Revenue is the amount without VAT.

A 123 zł bill with 23% VAT is 100 zł of revenue and 23 zł owed to the tax office.

Profit, cash and value

"Profit means cash in the bank"

Actually: Profit counts what was earned and used up; cash counts what was paid. They differ almost every month.

November profit 2,075 zł, but operating cash only 1,200 zł.

"Depreciation puts money aside for a new machine"

Actually: Depreciation is only an accounting entry. No cash moves, and no savings pot is created.

The 100 zł depreciation in strip 12 leaves the bank balance untouched.

See strip 12 ↓

"The balance sheet shows what the business is worth"

Actually: Most assets are shown at cost less depreciation, not at market price.

The machine shows 5,900 zł even if it could sell for more, or less.

See strip 3 ↓

"Equity is money the owner can take out"

Actually: Equity is a claim, not a pile of cash. It is spread across all the assets.

Ania's equity is 12,075 zł, but only 10,200 zł of the assets are cash.

Owner and bookkeeping words

"The owner's own pay is a wage expense"

Actually: In a sole-trader business, money the owner takes out is a drawing: it reduces equity, not profit.

Tomek's 800 zł is an expense; if Ania took 800 zł for herself, it would not be.

See strip 9 ↓

"Debit means bad, credit means good"

Actually: Debit is just the left side, credit the right. Assets and expenses grow with debits; liabilities, equity and revenue grow with credits.

Dr Cash 10,000 in strip 1 is good news: the cart's cash went up.

See strip 1 ↓

""Credit" on my bank statement is the same as a credit in my books"

Actually: Your bank writes from its own side: your deposit is money it owes you, so it calls it a credit. In your books the same cash is a debit.

The 10,000 zł arriving shows as a credit on the bank statement and Dr Cash in Ania's books.

See strip 1 ↓

"Accumulated depreciation is a liability"

Actually: It is a minus line under the asset it belongs to, not money owed to anyone.

Equipment 6,000 less accumulated depreciation 100 = 5,900 zł.

See strip 12 ↓

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Ratios

Divide one number by another

PROFIT MARGIN

41.5%

Net income ÷ revenue

Out of every 100 zł of sales, how much is profit.

CURRENT RATIO

22.3×

Current assets ÷ current liabilities

Can the cart pay its short-term bills? Above 1 is comfortable. (The bank loan is treated as long-term.)

DEBT TO EQUITY

0.46

Total liabilities ÷ total equity

How much of the business is funded by borrowing versus by the owner.

Jump to a section

The big idea | 12 conventions | Debit & credit | The comics | The statements | How they connect | Accounting cycle | Easy to mix up | Ratios

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This is my attempt to make the accounting basics stick by turning them into a story. The story, text and drawings are original; the accounting behind them is standard theory, pieced together from textbooks, courses and articles. Made with a little help from my AI pal, Claude.

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